

PRODUCT TEAR DOWN

An end-to-end product breakdown and analysis

FEBRUARY 2022
1ST EDITION



**KITE BY
ZERODHA**

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Introduction

Zerodha is a discount brokerage platform with a very clean UI and is easy to learn because of its elegant design. It has multiple applications under its umbrella:

1. **Kite** - Flagship Trading platform
2. **Console** - Central Dashboard cum Backoffice platform
3. **Coin** - Direct mutual fund platform
4. **Varsity** - Education App to increase financial literacy.



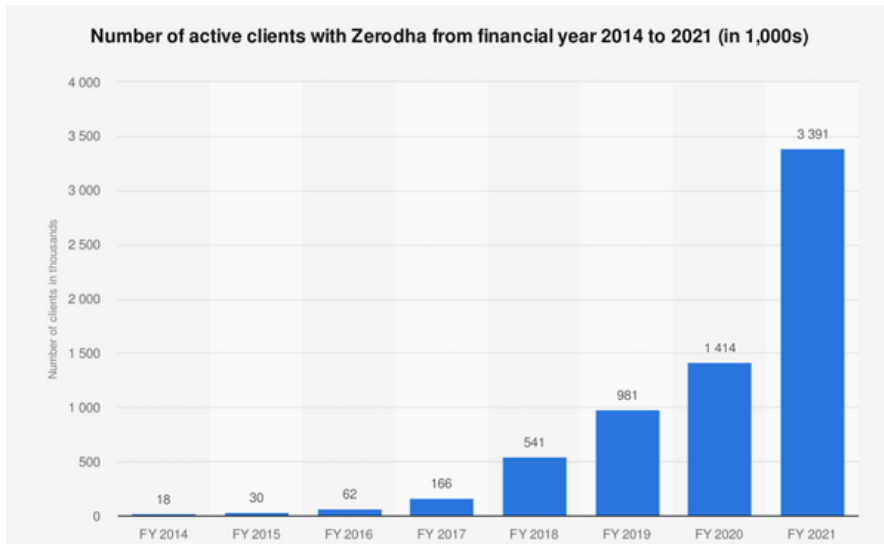
Zerodha is a combination of Zero and Rodha which in Sanskrit means barrier. Launched on 15th August 2010, it now has 8 million clients and contributes to 15% of all Indian retail trading volumes. It charges Rs 0 brokerage for equity delivery trades and direct mutual funds and is one of the most transparent brokers

- **Discount Broker** - Carries out buy and sell orders at reduced commission rates, but does not provide investment advice or perform analysis on a client's behalf
- **Full-Service Broker** - Provide a range of services to its customers, have branch offices and dedicated relationship managers, but charge higher brokerage

Competitors



Growth of Zerodha



Source : Company data

User Personas

Novice Trader

- People who have disposable income are looking to invest their money by starting off to trade.

Intermediate Trader

- People who have already made some trades but are willing to learn more about the market to earn huge returns
- They frequently return for trading various securities and track movements in them

Expert Trader

- Playing high stakes games and perfecting their strategies over time to earn reliable returns. They track the market every day.

Functionalities - Analysis

1) Trading

Interesting Features

- *Good Till triggered (GTT)* - Allows you to set conditions that remain valid across multiple sessions.
- *Customizable Alerts* - User-defined settings that push notification when the share hits the trigger condition.
- *Intra Day Separation* - Any open positions are shown separately under the "Positions" tab for easy tracking.
- *Gifting* - You can simply transfer ownership of shares to any Zerodha account with a nominal fee.
- *Margin Availability* - Before actual trading of shares, one directly knows the amount of margin required for trade
- *Baskets* - Allows you to save up to 20 orders in a single basket for the future and trade at the same time.

Alert me when **Last Traded Price** of **NSE:RELIANCE**

is **Greater Than (>)** **Value** **Stock** **1106**

Reliance>1106 **Create**

Alerts

GTT

INFY **NSE** 785.70 beta

Order type ☐ Buy ☒ Sell

Trigger type ☒ Single ☐ OCO

The order is placed when the Last Traded Price (LTP) crosses the trigger price. Used to buy or sell stock holdings.

☒ CNC ☒ LIMIT

Trigger price 799 **Places order →** Qty. 1 Price 799

☒ I agree to the [terms](#) and accept that trigger executions are not guaranteed. This trigger expires on 2020-07-24.

Create **Cancel**

Buy BANKNIFTY JUN FUT × 20 Qty
₹21,285.00 on NFO

☐
☐

Margin required ⓘ ₹99,523.20 ⓘ

☐ MIS
☒ NRML
☒ MARKET
☐ LIMIT
☐ SL
☐ SL-M

Qty.
20

Price
0

Trigger price
0

More options ▾

Buy

Cancel

Margin Availability

Pain Points

- You can only view up to 5 bids for options trading and not more, as a result, limited information on the support-resistance of an option.
- Different Bonds Symbols across different exchange causes complexity in searching through ISN code.

2) Charts and analysis

Interesting Features

- *Charts* - Free of cost trading charts with extensive customization options available for analysis, also performed analysis remains persistent through multiple logins
- *Multiple stocks comparison* - Allows comparing multiple commodities at the same time
- *Market depth* - Special view of top 5 bids, offers and asks to analyze the dynamics of the instrument
- *Fundamentals & Governance* - In-depth analysis from Tickertape providing instrument-specific details
- *Technical analysis* - Extensive analysis, technicals, strategies from Streak at one place



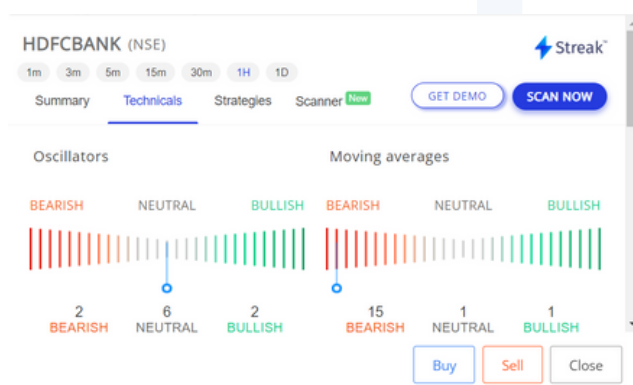
Multiple stocks comparison

BID	ORDERS	QTY.	OFFER	ORDERS	QTY.
1717.40	1	3	1717.50	2	3
1717.35	2	28	1717.65	1	5
1717.00	4	27	1717.70	3	5
1716.80	1	52	1717.75	1	22
1716.65	1	2	1717.80	3	479
Total		3,27,747	Total		2,20,701

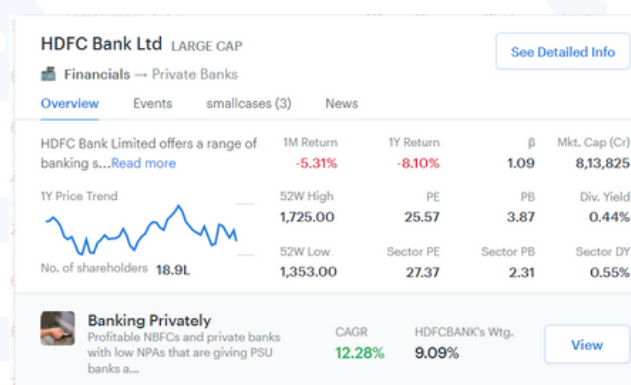
[View 20 depth](#)

Open	1710.00	High	1724.65
Low	1696.00	Prev. Close	1715.00
Volume	30,19,121	Avg. price	1707.87
LTQ	2	LTT	2022-02-08 12:30:32
Lower circuit	1543.50	Upper circuit	1886.50

Market depth



Technicals



Fundamentals

Pain points

- Unable to download analysis performed or share it with others on the same or different platform
- Cumbersome and complex operations while performing multi-instrument analysis in a single pane
- Need to refer to other sources for the company's SWAT analysis
- There is no dedicated forum to discuss issues, grievances, strategies, share opinions and connect
- No way to save the state of a current analysis before analyzing the same stock in a different manner.
- Difficult to correlate stock movements with company governance events and news.

3) Watchlists

Interesting Features

- *Categorization*: Can create up to 7 different stock lists consisting of a maximum of 50 different stocks to categorize the different stocks of interest and track their movements
- *Rearrangement*: The order of stocks defined in the watchlist determines the order in which they are shown in the tracking dashboard. You can go ahead and rearrange them if required

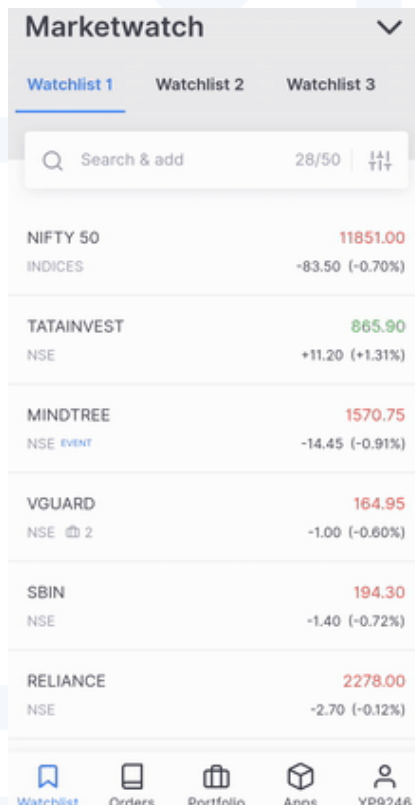
Pain Points

- No easy way to filter the watchlist on other parameters like market capitalization - small, mid, and large-cap or by sectors - tech, pharma, FMCG, etc

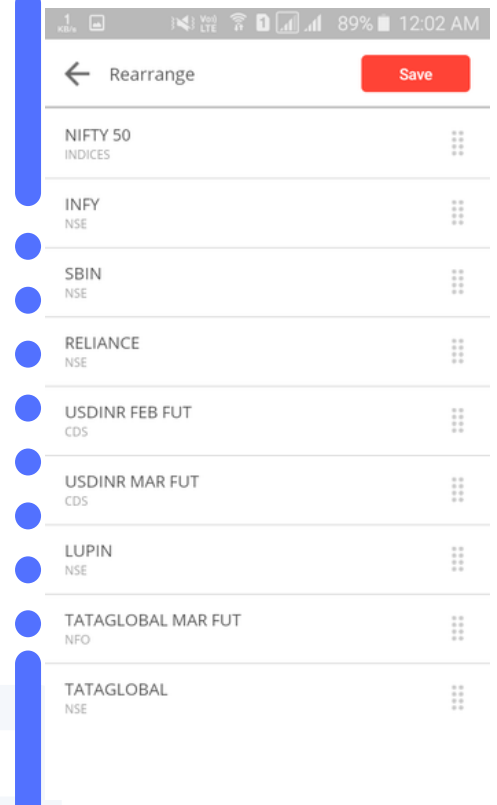
Adding new stocks



View available stocks



Rearrange stocks



Solutions

- **Charts analysis sharing** – Build a feature to share the chart analysis done on single or multiple instruments with other Kite users within the app and feature to download it as an image/pdf which can be shared via other mediums
- **Forum for traders** – Build a forum for traders to discuss strategies, experiences, opinions, grievances, and connect with like-minded people. This can be made free to use for Kite users
- **Debt Easy finder** - Allow you to search debt using any or all combinations of name, maturity date, and coupon code instead of the ISN code. This will list all the debt available in a convenient manner on basis of the user filter
- **Watchlist Filter** - Allows you to filter the stocks in the watchlist on basis of other parameters such as market cap - small, mid, and large-capitalization and/or sector composition - tech, FMCG, pharma, etc
- **Stock Tagging** - Allows you to add a custom tag on stocks which can be used for quick filtering and identification of special stocks at multiple places
- **Planned Announcements**- News concerning the company's internal announcements like bonuses, dividends, split, rights issues, etc should be marked on the stock chart to explain planned sudden price movements of shares and correlate them on the chart.

Metrics to track

North Star: Number of Daily Active Users (DAUs)

Acquisition

- Total number of new app downloads per week.
- Rate of people in the middle of sign-up process per week

Activation

- % of users who have completed the registration process to new app downloads in a week
- Average amount of funds per user transferred in the wallet

Revenue

- Revenue earned from brokerage per day per trading category
- Average brokerage earned per user per week

Retention

- Number of Daily Active Users/Monthly Active Users
- User churn rate - $\frac{\text{users who are not trading for 6 months}}{\text{users present at the beginning of the 6 month period}}$

Referral

- % of total users who signed up via invite links per week
- Total invite links shared externally per week

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